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Case Number: 26STCV05267 Hearing Date: August 10, 2026 Dept: 406

FRANCISCO JAVIER

RAMIREZ GARAY,

Plaintiff,

v.

WAYNE PROVISION CO.,

INC., et al.,

Defendants.

Case No.: 26STCV05267

Hearing Date: August 10, 2026

[TENTATIVE]

order RE:

motion to compel arbitration

BACKGROUND

On February 17, 2026, Plaintiff

Fracisco Javier Ramirez Garay filed this employment discrimination action

against Defendants Wayne Provision Co., Inc. (Wayne) and ADP TotalSource DE IV,

Inc. (ADP).

On June 22, 2026, Wayne filed the instant motion to compel arbitration. ADP filed a joinder on July 17, 2026. Plaintiff filed an omnibus opposition on July 28, 2026. Wayne and ADP filed their respective replies on August 3, 2026.

LEGAL STANDARD

“On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate that controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists....” (Code Civ. Proc, § 1281.2.) “The party seeking arbitration bears the burden of proving the existence of an arbitration agreement, and the party opposing arbitration bears the burden of proving any defense, such as unconscionability.” (Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC (2012) 55 Cal.4th 223, 236.)

DISCUSSION

I.

Proof of Agreement

“As to the existence of an agreement, [the moving party bears] the ultimate burden of proof, but the court [is] obliged to resolve the dispute using a three-step burden-shifting process.” (Iyere v. Wise Auto Group (2023) 87 Cal.App.5th 747, 755.)

a. Defendants' Initial Burden

“The moving party ‘can meet its initial burden by attaching to the motion or petition a copy of the arbitration agreement purporting to bear the opposing party’s signature.’” (Gamboa v. Northeast Community Clinic (2021) 72 Cal.App.5th 158, 165.) “At this step, a movant need not ‘follow the normal procedures of document authentication’ and need only ‘allege the existence of an agreement and support the allegation.’” (Iyere, supra, 87 Cal.App.5th at p. 755.)

Here, Wayne relies on the declaration of its HR manager, who avers that on August 27, 2015, he met with

Plaintiff in person and presented a new hire packet which included the subject Mutual Arbitration Policy (MAP) and Agreement to Arbitrate (AA). (Flores Decl. ¶¶ 2-3.) The MAP provides for arbitration of “all disputes relating to or arising out of or in connection with employment at the Company or the termination of that employment.” (Id., Ex. A.) The AA is an acknowledgment that the employee has read the MAP and agrees to abide by it. (Ibid.) Plaintiff’s handwritten signature appears at the bottom of the AA and is dated August 27, 2015. (Ibid.)

Therefore, Wayne has satisfied its initial burden on the motion.

b. Plaintiff’s Burden to Raise a Factual Dispute

“If the movant bears its initial burden, the burden shifts to the party opposing arbitration to identify a factual dispute as to the agreement’s existence.” (Iyer, supra, 87 Cal.App.5th at p. 755.) “To bear this burden, the arbitration opponent must offer admissible evidence creating a factual dispute . . . and shift the burden back to the arbitration proponent, who retains the ultimate burden of proving [the existence of an agreement] by a preponderance of the evidence.” (Ibid.)

Here, Plaintiff denies receiving the three-page MAP. (Garay Decl. ¶ 3.) Plaintiff can only “recall” signing the one-page AA, though he did so without reading it. (Id., ¶ 4.) Plaintiff avers that the AA was presented to him as a standalone document, not attached to any other document. (Ibid.)

Plaintiff’s showing is insufficient to raise a factual dispute. First, “one who signs an instrument which on its face is a contract is deemed to assent to all its terms.” (Marin Storage & Trucking, Inc. v. Benco Contracting & Engineering, Inc. (2001) 89 Cal.App.4th 1042, 1049.) This is so “even if the party never actually read the clause.” (Mendoza v. Trans Valley Transport (2022) 75 Cal.App.5th 748, 777.) Here, Plaintiff indisputably signed the AA, which expressly acknowledges that “I have received and reviewed a copy of Premier Meat Company’s Mutual Arbitration Policy.” (Flores Decl., Ex. A.) The AA further states that “I agree that it is my obligation to use the MAP and to submit to final and binding arbitration any and all claims and disputes

that are related in any way to my employment or the termination of my employment.” (Ibid.) The MAP is binding because Plaintiff expressly acknowledged his receipt of the MAP and agreed to abide by it. It is immaterial that Plaintiff did not actually read the MAP or AA.

In light

of this, Plaintiff’s claim that he can only “recall” seeing the AA but not the MAP is not persuasive. Plaintiff did not even read the one page he acknowledges being presented with. (See Garay Decl. ¶ 4.) Thus, it appears that Plaintiff simply failed to read the MAP despite being presented with it. Plaintiff’s undisputed signature on the AA is evidence that Plaintiff was presented with the MAP and agreed to abide by it. Thus, Plaintiff has not raised a factual dispute as to the existence of an agreement to arbitrate.

c.

Defendant’s Ultimate Burden

Even if

Plaintiff had raised a factual dispute, Wayne has satisfied its ultimate burden. Mr. Flores expressly reaffirms in his supplemental declaration that he presented all pages of the arbitration agreement to Plaintiff. (Flores Reply Decl. ¶ 3.) Plaintiff’s signature on the AA acknowledges that he was presented with the MAP. This is contrasted with Plaintiff’s averment that he can only “recall” seeing the AA and did not even read that. On balance, Wayne’s evidentiary showing is more persuasive. Therefore, Wayne has satisfied its ultimate burden of proving an agreement to arbitrate by a preponderance of the evidence.

II.

Unconscionability

Unconscionability has both a procedural and a substantive element. (Aron v. U-Haul Co. of California (2006) 143 Cal.App.4th 796, 808.) Both elements must be present for a court to invalidate a contract or clause. (Ibid.) However, the two elements need not be present in the same degree; courts use a sliding scale approach in assessing the two elements. (Carbajal v. CWPSC, Inc. (2016) 245 Cal.App.4th 227, 242.)

a. Procedural Unconscionability

Procedural unconscionability “focuses on two factors: ‘oppression’ and ‘surprise.’ ‘Oppression’ arises from an inequality of bargaining power which results in no real negotiation and ‘an absence of meaningful choice.’ ‘Surprise’ involves the extent to which the supposedly agreed-upon terms of the bargain are hidden in the prolix printed form drafted by the party seeking to enforce the disputed terms.” (Zullo v. Superior Court (2011) 197 Cal.App.4th 477, 484, internal citations omitted.)

Plaintiff argues that the agreement is procedurally unconscionable because it was a condition of employment. However, this only creates a small degree of procedural unconscionability. (See *Serpa v. California Surety Investigations, Inc.* (2013) 215 Cal.App.4th 695, 704.) Plaintiff further avers that he was only given five minutes to sign the paperwork and did not receive the MAP. (Garay Decl. ¶¶ 5-6.) However, as discussed above, Plaintiff’s claim that he did not receive the MAP is unconvincing, and he expressly acknowledged his receipt of the MAP by signing the AA. Mr. Flores denies limiting the time for new hires to complete the paperwork. (Flores Reply Decl. ¶ 2.)

Lastly, Plaintiff contends that he was not presented with the applicable arbitration rules. (Garay Decl. ¶ 7.) However, “the failure to attach the [arbitration] rules, standing alone, is insufficient grounds to support a finding of procedural unconscionability.” (*Peng v. First Republic Bank* (2013) 219 Cal.App.4th 1462, 1472.)

Overall, the Court finds a small degree of procedural unconscionability.

b. Substantive Unconscionability

Substantive unconscionability focuses on the actual terms of the agreement and evaluates whether they create overly harsh or one-sided results as to shock the conscience. (*Suh v. Superior Court* (2010) 181 Cal.App.4th 1504, 1515.)

The MAP provides that “[e]xcept as otherwise provided by law, you and the Company will be responsible for the fees and costs of your own respective legal counsel.” (Flores Decl., Ex. A.)

Plaintiff argues that the agreement improperly waives Plaintiff's right under FEHA and the Labor Code to recover attorney's fees in case he prevails. Plaintiff contends that the qualification "except as otherwise provided by law" is ambiguous and should be interpreted against Wayne as the drafting party. However, the phrase is not ambiguous and clearly preserves each party's right to recover attorney's fees if provided by law. Because FEHA and the Labor Code are laws that provide for prevailing party attorney's fees, Plaintiff's right to such fees has been adequately preserved by the agreement.

Plaintiff argues that the agreement permits Wayne to unilaterally modify it. However, the MAP states that Wayne "will not modify or change the agreement . . . without notifying you and obtaining your consent to such changes." (Flores Decl., Ex. A.) The provision that "specific MAP procedures or AAA Rules may be modified from time to time as required by applicable law" is not a unilateral modification provision. It only permits modification as required by law. Requiring compliance with the law is not substantively unconscionable.

Plaintiff fails to show that the agreement does not "provide[] for more than minimal discovery." (Armendariz v. Foundation Health Psychcare Services, Inc. (2000) 24 Cal.4th 83, 102.) Plaintiff erroneously attempts to shift the burden to Wayne by arguing that Wayne has not shown the referenced AAA rules provide for sufficient discovery. However, once Wayne proved the existence of an arbitration agreement, the burden shifted to Plaintiff to prove unconscionability. Plaintiff fails to show that the applicable AAA rules are unconscionable.

In sum, the Court finds no substantive unconscionability. With a small degree of procedural unconscionability and no substantive unconscionability, the agreement remains enforceable.

III.

Joinder

ADP is not a party to the arbitration agreement between Plaintiff and Wayne. However, ADP advances several theories in support of its right to enforce the agreement.

a. Equitable Estoppel

Under the doctrine of equitable estoppel, “if a plaintiff relies on the terms of an agreement to assert his or her claims against a nonsignatory defendant, the plaintiff may be equitably estopped from repudiating the arbitration clause of that very agreement.” (Goldman v. KPMG, LLP (2009) 173 Cal.App.4th 209, 220.) Equitable estoppel only applies “when the causes of action against the nonsignatory are ‘intimately founded in and intertwined’ with the underlying contract obligations.” (Boucher v. Alliance Title Co., Inc. (2005) 127 Cal.App.4th 262, 271.) This means that “the plaintiff’s claims against the nonsignatory defendant actually rely on the terms of the contract containing the arbitration clause.” (Soltero v. Precise Distribution, Inc. (2024) 102 Cal.App.5th 887, 895.)

Here, none of Plaintiff’s claims “actually rely on the terms of the contract containing the arbitration clause.” (See Soltero, *supra*, 102 Cal.App.5th at p. 895.) Instead, the complaint asserts statutory and common law causes of action arising from alleged discriminatory treatment. Plaintiff can pursue and prevail on all of his claims without ever referencing or relying on the arbitration agreement. Thus, the claims are not “intimately founded in and intertwined” with the arbitration agreement. (See Boucher, *supra*, 127 Cal.App.4th at p. 271.)

ADP cites Garcia v. Pexco, LLC (2017) 11 Cal.App.5th 782 for the proposition that a nonparty may invoke equitable estoppel even if the claims are not contractual in nature. The court in Garcia reasoned that “[e]ven though Garcia’s claims are styled as Labor Code violations, the arbitration agreement applies” because “Labor Code violations are clearly, and indeed expressly, included as one of the types of disputes covered by the arbitration agreement.” (Id. at p. 786.)

However, the court in Soltero expressly rejected Garcia: “For several reasons, we agree that Garcia misapplied California law on this issue.” (Soltero, *supra*, 102 Cal.App.5th at p. 895.) In particular, the court in Soltero clarified that “a nonsignatory defendant cannot compel arbitration merely because the scope of the arbitration agreement extends to the types of claims asserted by the plaintiff.” (Ibid.) Instead, the claims must “actually rely on the terms of the contract containing the arbitration clause.” (Ibid.) “If not, the nonsignatory defendant cannot compel arbitration under the equitable estoppel doctrine—even if the plaintiff is asserting claims of a type that would

otherwise fall within the scope of the arbitration agreement if asserted against a signatory defendant.” (Ibid.)

Therefore, ADP may not compel arbitration under an equitable estoppel theory.

b. Agency

ADP also argues that because Plaintiff alleges that Wayne and ADP were agents and joint employers, ADP is entitled to enforce the arbitration agreement. (See *Thomas v. Westlake* (2012) 204 Cal.App.4th 605, 614.) However, “[c]omplaints in actions against multiple defendants commonly include conclusory allegations that all of the defendants were each other’s agents or employees and were acting within the scope of their agency or employment,” and not all such allegations are sufficient judicial admissions that allow a non-signatory to enforce an arbitration agreement. (*Barsegian v. Kessler & Kessler* (2013) 215 Cal.App.4th 446, 451.)

“Rather, a judicial admission is ordinarily a factual allegation by one party that is admitted by the opposing party. The factual allegation is removed from the issues in the litigation because the parties agree as to its truth.” (*Barsegian*, supra, 215 Cal.App.4th at p. 452, emphasis in original.) “Thus, if a factual allegation is treated as a judicial admission, then neither party may attempt to contradict it—the admitted fact is effectively conceded by both sides.” (Ibid.) If a defendant moving to compel arbitration “wish[es] to be able to contest the truth of that allegation, either in court or before an arbitrator,” then the defendant “do[es] not in fact wish to treat the mutual agency allegation as a judicial admission,” and the court will not treat it as such. (Id. at pp. 452-53.)

This is especially so where a defendant “has already denied the agency allegations in its answer to the operative complaint.” (*Watson v. Professional Business Management Corp.* (2026) 120 Cal.App.5th 860, 870.) Here, like the defendant in *Watson*, ADP specifically denies each and every allegation in the complaint, including the agency and joint employer allegations. (06/02/26 Answer, p. 1.) Because ADP contests the allegations, they do not constitute judicial admissions. ADP cannot have it both ways—it cannot adopt the allegations solely for the purposes of the motion to compel arbitration but disavow the allegations when it comes

time to contest liability. (Watson, supra, 120 Cal.App.5th at pp. 870-71; Barsegian, supra, 215 Cal.App.4th at pp. 452-53; see also Soltero, supra, 102 Cal.App.5th at pp. 894-95 [rejecting Garcia's reliance on the joint employer theory].)

Therefore, the agency and joint employer allegations do not permit ADP to enforce the arbitration agreement.

c. Third-Party Beneficiary

"A contract, made expressly for the benefit of a third person, may be enforced by him at any time before the parties thereto rescind it." (Civ. Code, § 1559.) This requires a showing that: (1) "the third party would in fact benefit from the contract;" (2) "a motivating purpose of the contracting parties was to provide a benefit to the third party;" and (3) "permitting a third party to bring its own breach of contract action against a contracting party is consistent with the objectives of the contract and the reasonable expectations of the contracting parties." (Goonewardene v. ADP, LLC (2019) 6 Cal.5th 817, 830.) A third-party beneficiary may be referenced in an agreement "directly or by class." (Ford Motor Warranty Cases (2023) 89 Cal.App.5th 1324, 1339.)

Here, the MAP covers Wayne "or any affiliated companies or entities, and all of their owners, employees, officers, directors or agents." (Flores Decl., Ex. A.) ADP argues that it is an affiliate or agent of Wayne because Plaintiff alleges that Wayne and ADP were agents and joint employers. However, as discussed above, Plaintiff's allegations are not judicial admissions, because ADP denies them.

ADP otherwise presents no evidence that it is in any way associated with Wayne, nor does ADP attempt to establish the elements for third-party beneficiary. Therefore, ADP has not shown that it is a third-party beneficiary to the agreement, either by name or by class. In other words, ADP "has not carried its burden of proving a valid arbitration agreement applicable to it in this dispute." (See Watson, supra, 120 Cal.App.5th at p. 870.)

Therefore, ADP is not a third-party beneficiary entitled to enforce the agreement.

CONCLUSION

The motion to compel arbitration is
GRANTED as to Wayne Provision Co., Inc. only. The case is stayed in its
entirety pending the outcome of arbitration.